

ECONOMY TOPIC 24 | SERVICES, DIGITAL ECONOMY, FINTECH AND PLATFORM MARKETS

CURRENT-SOURCE CUTOFF: 10 September 2026

READ: CLASSIFY -> IDENTIFY RAIL/ACTOR -> TRACE MECHANISM -> TEST RISK -> EVALUATE OUTCOME

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[01 SERVICES MAP]

- | - market / public / social services
- | - tradable / non-tradable
- | - formal / informal
- | - high-skill / labour-intensive
- ` - aggregate share != uniform productivity

[02 DATED OUTPUT + JOBS]

- | - H1 FY26 services share in GDP: 53.6%
- | - H1 FY26 services GVA growth: 9.3%
- | - about 30% of total employment
- | - 61.9% of urban employment, Q1-Q2 FY26 average
- ` - output share != earnings quality

[03 STRUCTURAL TRANSFORMATION]

- | - modern tradable services -> exports + knowledge
- | - domestic services -> employment + welfare
- | - servicification -> design + finance + logistics
- | - strengths -> resilience + foreign exchange
- ` - limits -> skill bias + concentration + informality

[04 DIGITAL ECONOMY STACK]

- | - connectivity + cloud + devices
- | - identity -> Aadhaar
- | - documents -> DigiLocker
- | - payments -> UPI
- | - consented finance data -> Account Aggregator
- ` - applications compete above shared rails

[05 PAYMENT ARCHITECTURE]

- | - RBI -> regulator under PSS framework
- | - NPCI -> UPI / IMPS / NFS operator
- | - PSP bank / issuer bank / TPAP -> distinct roles
- | - NEFT: 24x7 from 16 Dec 2019, batch
- ` - RTGS: 24x7 from 14 Dec 2020, real-time gross

[06 UPI, CBDC AND MONEY]

- | - UPI -> instruction moving bank deposits
- | - deposit -> commercial-bank liability
- | - e-rupee -> RBI liability + legal tender
- | - RBI FAQ 29 Apr 2026 -> pilots continue
- ` - interface != money != private crypto

[07 FINTECH + DIGITAL LENDING]

- | - payments / lending / wealth / insurance / regtech
- | - RE remains liable for LSP
- | - direct borrower-RE fund flow
- | - KFS + APR + cooling-off + grievance
- ` - DLG capped at 5% of specified portfolio

[08 ACCOUNT AGGREGATOR]

- | - RBI Directions: 28 Nov 2025
- | - customer -> explicit consent artefact
- | - FIP -> data -> AA -> regulated FIU
- | - no transaction support
- ` - accessed financial information must not reside with AA

[09 PLATFORM POWER]

- | - multi-sided matching + cross-subsidy
- | - network effects + data + reputation
- | - switching costs + lock-in
- | - self-preferencing / tying / ranking risks
- ` - multi-homing + portability + interoperability

[10 ONDC + COMPETITION]

- | - ONDC -> open protocol network, not one marketplace
- | - CCI -> existing ex-post competition enforcement
- | - March 2024 draft -> proposed ex-ante duties
- | - no enactment identified by 10 Sep 2026
- ` - size != abuse; assess conduct + effects

[11 DATA, CYBER AND INCLUSION]

- | - DPDP -> phased from 13 Nov 2025
- | - payment-data storage direction -> 6 Apr 2018 perimeter
- | - fraud -> prevention + detection + liability + recovery
- | - access -> affordability + skill + language + disability
- ` - digital-only delivery can exclude

[12 MAINS ANSWER SPINE]

- | - define subsector / rail / actor / legal status
- | - date statistics and regulatory phase
- | - trace cost, scale, productivity and network effects
- | - test competition, privacy, cyber, worker and consumer risk
- ` - conclude: open rails + accountable applications + accessible remedy